

name it. ... Credit Suisse would offer me the same package for an account worth \$50 million. Ditto for Goldman and D-Bank. No other firms I know of provide this capability for accounts under \$5–10 million.”

- Bank of America, JPMorgan and others are giving their hedge fund clients the boot. Some, like E-Trade, are closing global trading accounts. Where do these customers all go? Interactive Brokers.
- Scottrade recently added its clients to IBKR’s platform. Scottrade is a competitor, and it’s essentially put up the white flag.

Goodman writes you can also see all of this in the numbers. He showed how growth in new accounts was actually accelerating at IBKR:

	2015			% Change
	Apr	Pr Mo	Pr Yr	Pr Mo Ann
				(in 000's)
Total Accounts	302	2.0%	18.0%	23.0%
Net New Accounts	5.6	-16.0%	40.0%	
				(in Billions)
Client Equity	\$ 65.20	7.0%	32.0%	780.0%
Client Credits	\$ 33.60	6.0%	24.0%	68.0%
Client Margin Loans	\$ 8.70	8.0%	27.0%	97.0%

“This is information one can find in the IR section of the IBKR website,” Goodman wrote. “I added the last column, ‘Prior month annualized.’” Key takeaways here: While year-over-year growth seems impressive, month-over-month growth is even more impressive. And client equity is growing even faster than total accounts. That’s a huge positive trend because it means the business is attracting wealthier customers who are opening larger accounts.”

So, this is a fast-growing business. But the stock traded for about 25 times earnings in late 2014, when you backed out the excess capital it had. That is not a low multiple. So was it worth it?

Charlie Munger, vice chairman of Berkshire Hathaway said,

Over the long term, it’s hard for a stock to earn a much better